<u>EnCap Investments L.P.</u>
Historical Lawsuits and Regulatory Interactions Involving EnCap and its Affiliates

Historically, EnCap and related affiliates along with the EnCap funds have been involved in the following lawsuits and regulatory interactions:

1. During 2003, plaintiffs M.J.G., Inc. and Michael D. Calverley filed an action in Hidalgo County, Texas against a number of defendants, including EnCap Energy, L.C., EnCap Investments, LLC, and EnCap Investments, LC (Cause No. C-929-03-B; M.J.G., Inc. and Michael D. Calverley v. Sierra Resources, L.L.C., Sierra Mineral Development, L.C., John Eads, Robert Fabris, EnCap Energy, L.C., Sierra 2002, L.P., and Rising Starr Energy, L.L.C.; in the 93rd Judicial District Court of Hidalgo County, Texas). The plaintiffs asserted various claims against the defendants, including breach of duty of care, breach of the duty of loyalty, fraud, conversion, and usury. The lawsuit arose out of a limited partnership in which plaintiffs were parties along with several of the Defendants. Pursuant to a settlement agreement, some of the Defendants agreed to transfer certain oil and gas interests to the Plaintiffs, along with certain other consideration. An Order of Nonsuit with prejudice of all claims of the Plaintiffs against all Defendants was signed on May 27, 2004. The EnCap Entities did not pay any monies to the Plaintiffs in conjunction with the settlement.

2. During 2003, Plaintiff Celebrex Energy Corporation, now known as Celebrex Energy, LLC, filed an action in Louisiana against two EnCap portfolio companies, and included EnCap Investments, LLC and EnCap Energy Fund III, LP as defendants. Celebrex claimed that it had a binding commitment from a third party to purchase certain oil & gas assets in Louisiana, but that those assets had been subsequently sold to one or more EnCap portfolio companies. Celebrex sued, seeking a restraining order to prevent the transfer of the assets to EnCap's portfolio companies, and also sought damages as a result of alleged breaches of contract, breaches of fiduciary duty and unjust enrichment, among other claims. Pursuant to a settlement agreement, a business resolution was reached with regard to the acquisition of certain of the oil & gas interests. The lawsuit was subsequently dismissed.

3. During 2005, a derivative action was brought against EnCap and certain of its affiliates arising out of EnCap Fund IV's investment in Petrohawk Energy Corporation, a publicly traded company listed on NASDAQ. The plaintiff alleged violations by EnCap and certain of its affiliates of Section 16(b) of the Securities Exchange Act of 1934 and sought to obtain disgorgement of at least $6.4 million in profits obtained by the defendants arising from violations. The litigation was styled Andrew E. Roth derivatively on behalf of Petrohawk Energy Corporation v. PHawk, LLC, et al; in the United Stated District Court of the Southern District of New York. EnCap retained counsel and believed that the allegations were without merit. EnCap filed a motion to dismiss on January 20, 2006, which the District Court granted on March 31, 2006. The plaintiff then filed a notice of appeal on May 12, 2006. The plaintiff then requested that in exchange for voluntary

dismissal of the appeal, the defendants pay $75,000 for attorney's fees. EnCap accepted the offer to fully resolve the action.

4. During 2009, plaintiff Debbie Ann Petri, et. al. filed an action against Peregrine Oil & Gas LP, et.al., an EnCap portfolio company. This lawsuit arose from the death of the plaintiff's husband on a rig in the Gulf of Mexico. Two EnCap fund entities were also included in this lawsuit, along with a number of other defendants. The plaintiff alleged that her husband was swept out to sea and drowned while working on a rig because of the negligence of the defendants. The portfolio company and the EnCap entities were named because they allegedly owned the rig on which the decedent was working before his death. Neither the portfolio company named nor the EnCap entities owned the rig involved. It appeared that plaintiff's counsel simply named a number of entities to try to find out who owned the rig, as the statute of limitations was set to expire on the claims. The company that the decedent worked for has apparently agreed to indemnify and defend most of the defendants, including Peregrine and the EnCap entities. The lawsuit was originally filed in state court in November of 2009, but was removed to federal court. Subsequently, the plaintiffs' counsel filed a second action on behalf of the same plaintiffs, suing a number of new defendants, including EnCap Investments L.P., Bob Zorich and Wynne Snoots. The allegations are the same, and the second lawsuit was also removed to federal court. The insurance defense counsel for Peregrine filed responses for the EnCap individuals and entities. On July 29, 2010, all EnCap related individuals and entities were dismissed from this lawsuit.

5. In 2016, the SEC requested information and documents from EnCap regarding campaign contributions made to individuals with possible connections to government entity investors in prior EnCap funds. On July 10, 2018, the SEC, acting pursuant to an offer by EnCap which consented, without admitting or denying the factual allegations and findings, to the entry of an order making certain findings and imposing certain remedies, instituted administrative proceedings against EnCap, finding that EnCap had violated Section 206(4) of the Advisers Act and Rule 206(4)-5 thereunder when EnCap provided investment advisory services for compensation to certain government entities in Texas, Wisconsin, and Indiana within two years after covered associates of EnCap made campaign contributions to candidates for elective offices who were "Officials" of the government entities as defined in the Rule. The SEC noted that Advisers Act Rule 206(4)-5 does not require a showing of quid pro quo or actual intent to influence an elected candidate.

6. During 2017, a shareholder derivative action was brought against EnCap Investments L.P., former EnCap portfolio company Bold Energy III LLC, Douglas E. Swanson, Jr., Brad Thielemann, and Robert L. Zorich arising out of a merger of Bold Energy III LLC and Earthstone Energy, Inc. The lawsuit settled on favorable terms with no finding or admission of wrongdoing. The case was Nicholas Olenik, Ind., and on behalf of All Others Similarly Situated and Derivatively on Behalf of Nominal Defendant, Earthstone Energy vs. Frank Lodzinski; Ray Singleton; Douglas E. Swanson; Brad Thielemann; Robert L. Zorich; Jay F. Joliat; Zachary G. Urban; Phillip D. Kramer; EnCap Investments L.P.; Bold Energy III LLC; Bold Energy Holdings LLC; and Oak Valley Resources vs. Earthstone Energy, Inc., as Nominal Defendant; Case No.: 2017-0414-JRS.

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7. In late 2021, the Compliance Section of the Bureau of Competition of the United States Federal Trade Commission ("FTC") opened a civil investigation into whether certain operating companies within EnCap Energy Capital Fund XI, L.P. (“EnCap”) may have violated the HSR Act in connection with the acquisition of EP Energy LLC (“EP Energy”) by Verdun Oil Company II LLC (“Verdun”), an EnCap portfolio company.

   The acquisition of EP Energy closed on March 30, 2022, subject to divestiture of EP Energy’s Utah business to an FTC-approved divestiture purchaser. The FTC’s investigation is focused on potential gun jumping by Verdun and EnCap’s portfolio company XCL Resources, prior to the closing of the transaction. The FTC has indicated that it believes a violation occurred and has asked the parties to engage in settlement discussions. EnCap denies that any violation occurred. Based on the information provided by the FTC, the maximum penalty for the alleged violation at issue would be approximately $13 million but matters of this nature typically settle significantly below the maximum. Therefore, EnCap does not expect this investigation to have a material impact on EnCap. EnCap is considering its options.

8. On June 29, 2023, the New Mexico Environment Department (“NMED”) issued an Administrative Compliance Order against an EnCap Energy Capital Fund X portfolio company, Ameredev II, LLC (“Ameredev”), alleging violations of the New Mexico Air Quality Control Act and its implementing regulations arising out of operations from 2019 and 2020 at five of Ameredev’s facilities. NMED has proposed a civil penalty and administrative costs in the total amount of $40.7 million. Also on June 29, 2023, the New Mexico Energy, Minerals and Natural Resources Department (“EMNRD”) issued a Notice of Violation against Ameredev’s operating company, Ameredev Operating, LLC (“Ameredev Operating”), alleging violations of certain recordkeeping and reporting requirements under New Mexico Administrative Code Title 19, Chapter 15 arising out of operations at one of Ameredev Operating’s facilities. EMNRD has proposed a civil penalty in the total amount of $2.4 million.

   Ameredev’s alleged excess flaring during 2019 and 2020 was the direct result of the failure of a contractually obligated third-party midstream company to gather and treat Ameredev’s gas production. In response to the failure of this midstream company, Ameredev has taken significant steps to remedy the issues that caused the flaring, including arranging for alternative takeaway capacity of Ameredev’s gas production, which has enabled Ameredev to significantly reduce flaring to minimal amounts since April 2020. As a result of these efforts, Ameredev believes that it currently has a leading flaring standard compared to other public and private operators throughout the Permian Basin.

   Ameredev has on several occasions sought to engage with regulators to address these emissions and has been proactively working with the State of New Mexico for the past three and a half years to resolve this issue. Ameredev and Ameredev Operating intend to assert all defenses available in connection with these matters with the goal of minimizing any fines due.

To our knowledge, we have not received any letter or other communication in writing asserting or threatening to assert any material claim against any EnCap Related Party relating to or arising from the business and operations of EnCap, any EnCap sponsored fund or any EnCap affiliated general partner.

Various EnCap fund portfolio companies may be named as a defendant, from time to time, in litigation relating to their normal business operations. However, EnCap is not currently aware of (i) any current or pending litigation to which an EnCap fund portfolio company is a named party or (ii) any letter or other communication in writing asserting or threatening to assert any material claim against an EnCap fund portfolio company that is reasonably likely to have a materially adverse effect on EnCap and its affiliates' financial position or results of operations.